In 1980, when I.G. Patel was the RBI Governor, he recommended to Indira Gandhi that she nationalize another swathe of private banks. The RBI had the responsibility to supervise the private banks and to ensure their compliance with social control norms and the law. Several of the smaller banks had grown in size and become the personal fiefdoms of individuals who disregarded all advice and rules with impunity. It was becoming difficult for the RBI to supervise these banks. On Patel's suggestion, Indira nationalized six more banks with deposits of not less than ₹200 crores. While Indira claimed at a press conference that this nationalization would help the weaker sections of society, she had, according to Patel, lost her appetite for nationalization and the initiative for the second round of nationalization came entirely from him.[30] The opinion in banking circles was that this was a logical and overdue step in the government's strategy to make banks fall in line with attaining national objectives.



D.N. Ghosh, who had helped draft the legislation for nationalization when he was in the Finance Ministry, became the Chairman of SBI in 1985. He recalls that when the banks were nationalized in July 1969, no bank was attuned to the spirit of nationalization, not even the SBI. Ghosh observes:

> After the initial euphoria, many of us in the government felt we were on an uncharted sea, desperately needing someone in the banking industry who could steer as well as row. It was to Talwar that we turned. Though the previous five chairmen of the State Bank were all from the government, and did their best to attune it to developmental aspects of banking, progress had been slow, halting and somewhat meandering. There were doubts whether Talwar, recruited during the Imperial Bank days, and sheltered all through in that exclusively elite bank environment, could come to our rescue in the new context. He did not fail us: he surprised all of us by the way he galvanized the State Bank and pushed through an expansion unparalleled in the history of banking anywhere in the world. Equally remarkable, he preserved, with